The objective for retirement is first to build a safe and secure income floor for the entire retirement planning horizon, and only after that should you include more volatile assets that provide greater upside potential and accompanying risk. In terms of this floor for essentials and contingencies, pensions, bond ladders, and income annuities should take the lead. Failure should not be an option when meeting basic needs. Thus, income annuities serve as a fundamental building block for retirement income.

Income annuities are especially valuable because of their ability to provide longevity protection through the provision of mortality credits. People do not know their age of death in advance. They can learn about their remaining life expectancy, but that is just a projection of the average outcome, and there is a surprisingly large distribution of actual lifespans around the average. Individual retirees cannot self-insure to protect from longevity risk, and without annuitization they are obliged to plan for a long lifespan.

The annuity provider, however, can pool longevity risk across a large group of retirees, and those who die earlier than average subsidize payments to those who live longer than average. These are mortality credits. Because the annuity provider can pool the longevity risk, they are able to make payments at a rate much closer to what would be possible when planning for remaining life expectancy. A retiree seeking to self-annuitize must assume a time horizon extending well beyond life expectancy (such as thirty years with the 4 percent rule), to better hedge against the consequences of living beyond his or her planning age. A retiree must spend less when on the self-annuitize path.